

Standard Definitions and Interpretation

Meridian Assurance Limited — Document PW-DEFS-004, version 1.8, effective 1 April 2025.

Applies to all lines of business.

PLACEHOLDER CORPUS. Meridian Assurance Limited is a fictional insurer. This document was written for a RAG training exercise and states no real policy terms.

1. Interpretation

Words in the singular include the plural and vice versa. A reference to a clause is a reference to a clause of the policy wording in which the reference appears. Headings are for convenience and do not affect construction. Where a term is defined in both this document and a line-specific policy wording, the line-specific definition prevails for that line of business.

2. Definitions

Accident means a sudden, unforeseen, and involuntary event caused by external, visible, and violent means.

Cashless facility means a facility under which the Company pays the cost of admissible treatment directly to a network provider, to the extent pre-authorisation has been granted.

Condition precedent means a policy term on which the Company's liability under the policy is conditional.

Co-payment means a cost-sharing requirement under which the Insured Person bears a specified percentage of the admissible claim amount. A co-payment does not reduce the sum insured.

Deductible means a cost-sharing requirement under which the Company is not liable for a specified amount, which applies before any liability of the Company arises. A deductible does not reduce the sum insured.

Grace period means the period of **30 days** immediately following the premium due date during which premium may be paid to continue the policy without loss of continuity benefits. Coverage is not available for the period for which no premium was received.

Insured Declared Value (IDV) means the sum arrived at by applying the depreciation schedule for the age of the vehicle to the manufacturer's listed selling price of the vehicle, and is the maximum sum payable in the event of a total loss.

Material fact means a fact that would influence the judgement of a prudent underwriter in deciding whether to accept a risk and on what terms. The Insured has a continuing duty to disclose material facts.

Network provider means a hospital, garage, or other provider that has entered into an agreement with the Company or its administrator to provide services on a cashless basis at agreed rates.

Pre-existing disease means any condition, ailment, injury, or disease that is diagnosed by a physician **within 36 months** before the effective date of the policy, or for which medical advice or treatment was recommended by or received from a physician within 36 months before the effective date.

Reasonable and customary charges means charges for services or supplies that are the standard charges for the geographic area where provided, and no more than the charges would have been had no insurance existed.

Sum insured means the maximum amount of the Company's liability, as stated in the schedule, for each Insured Person or for the policy as a whole where the schedule states the cover is on a floater basis.

Surveyor means a person licensed to assess and report on the cause and quantum of a loss. The surveyor's report is advisory; the decision on the claim rests with the Company.

Third-party administrator means a person engaged by the Company to provide claim-related services, including pre-authorisation and document verification. The administrator does not decide admissibility.

Total loss means loss of the insured property where it is destroyed, or stolen and not recovered, or where the cost of retrieval and repair exceeds the threshold stated in the applicable policy wording.

3. Free look period

Where a policy is issued for a term of one year or more, the Insured may review the terms and, if not acceptable, return the policy within **15 days** of receipt, or within **30 days** where the policy was sold through distance marketing. Premium is refunded after deducting proportionate risk premium for the period of cover and expenses on medical examination and stamp duty.

4. Cancellation

The Insured may cancel at any time on **7 days** written notice, and premium is refunded on a short-period scale. The Company may cancel only on grounds of established fraud, misrepresentation, or non-cooperation, on **15 days** written notice, and no refund is payable where cancellation is for established fraud.

5. Renewal and portability

A policy is ordinarily renewable for life, subject to payment of premium and the absence of established fraud. An Insured Person may port to another insurer by applying **at least 45 days but not more than 60 days** before the renewal date, and accrued continuity benefits in respect of waiting periods are carried forward to the extent of the sum insured under the previous policy.

